

\$15 trillion value of the U.S. stock market and the \$30 trillion value of our bond market.

Investors Get Precisely What They Don't Pay For

The fact that investor returns lag market returns by the costs of the system is unarguable, yet it is often also argued that our financial system adds value to our society because of the other benefits it brings to investors. But such a claim belies the reality of our system, in that it does not operate under classical free market conditions. The system is fraught with information asymmetry (which favors sellers over buyers), imperfect competition, and irrational choices driven by emotions rather than reason.

This is not to say that our financial system creates only costs. It does create substantial value for our society. It facilitates the optimal allocation of capital among a variety of users; it enables buyers and sellers to meet efficiently; it provides remarkable liquidity; it enhances the ability of investors to capitalize on the discounted value of future cash flows, and other investors to acquire the right to those cash flows; it creates financial instruments (often including so-called derivatives, often of mind-boggling complexity, whose values are derived from still other financial instruments) that enable investors to assume additional risks, or to divest themselves of a variety of risks by transferring those risks to others.

No, it is not that the system fails to create benefits. The question is whether, on the whole, the costs of obtaining those benefits have reached a level that overwhelms those benefits. The answer, alas, seems obvious enough, at least to me: The financial industry is not only the largest sector of our economy; it is also the only industry in which customers don't come anywhere near getting what they pay for. Indeed, given those relentless rules of humble arithmetic, investors in the aggregate get precisely what they don't pay for. (Paradoxically, then, if they paid nothing, they would get everything!)